mobilization through tax effort, the finance minister noted in para 120: ‘The tax effort net of reliefs proposed in the Budget will on the whole bring in about Rs 282 crore for the current year, of which Rs 223 crore will accrue to the Centre. There will be a residual deficit of Rs 1417 crore which I propose to leave uncovered.’ What was left uncovered was supposed to be made up either by reducing the expenditure from the Budget levels during the course of the year, by borrowing additional amounts from somewhere, or if the tax effort shows up unexpected gains, or a mix of any or all of these. Or, better still, by the increase in RBI credit to the Government of India.

In the regular Budget presented for financial year 1990–91, the overall deficit was shown to be Rs 7206 crore. The *Budget at a Glance* duly notes at the bottom: ‘Increase in net RBI Credit to Central government—Rs 7206 crore’.

Recognition of the concept of fiscal deficit in India’s budgeting system took place in the most unusual circumstances. In the 1991–92 Interim Budget, which was not really presented but just approved by the Parliament as the Chandra Shekhar government had fallen, Finance Minister Yashwant Sinha recognized the concept of fiscal deficit. The *Budget at a Glance* of the Interim Budget 1991–92 proposed revenue deficit for financial year 1991–92 at Rs 17,766 crore, budgetary deficit at Rs 9977 crore and fiscal deficit at Rs 38,475 crore. The fiscal deficit equalled the borrowings and other liabilities of Rs 28,498 crore and the net increase in RBI credit to the Central government (which equalled budgetary deficit) of Rs 9977 crore.

All Budgets thereafter have presented fiscal deficit numbers. At some point in time, the concept of budgetary deficit went out and only fiscal deficit, which equalled borrowings and other liabilities, remained as the depiction of the gap between total expenditure of the government and total non-debt receipts.